

MORE ON THE P/E

A full discussion of p/e ratios of various industries and different types of companies would take an entire book that nobody would want to read. It's silly to get bogged down in p/e's, but you don't want to ignore them. Once again, your broker may be your best source for p/e analysis. You might begin by asking whether the p/e ratios of various stocks you own are low, high, or average, relative to the industry norms. Sometimes you'll hear things like "this company is selling at a discount to the industry"—meaning that its p/e is at a bargain level.

A broker can also give you the historical record of a company's p/e—and the same information can be found on the S&P reports also available from the brokerage firm. Before you buy a stock, you might want to track its p/e ratio back through several years to get a sense of its normal levels. (New companies, of course, haven't been around long enough to have such records.)

If you buy Coca-Cola, for instance, it's useful to know whether what you're paying for the earnings is in line with what others have paid for the earnings in the past. The p/e ratio can tell you that.

(The *Value Line Investment Survey*, available in most large libraries and also from most brokers, is another good source for p/e histories. In fact, *Value Line* is a good source for all the pertinent data that amateur investors need to know. It's the next best thing to having your own private securities analyst.)

If you remember nothing else about p/e ratios, remember to avoid stocks with excessively high ones. You'll save yourself a lot of grief and a lot of money if you do. With few exceptions, an extremely high p/e ratio is a handicap to a stock, in the same way that extra weight in the saddle is a handicap to a racehorse.

A company with a high p/e must have incredible earnings growth to justify the high price that's been put on the stock. In 1972, McDonald's was the same great company it had always been, but the stock was bid up to \$75 a share, which gave it a p/e of 50. There was no way that McDonald's could live up to those expectations, and the stock price fell from \$75 to \$25, sending the p/e back to a more realistic 13. There wasn't anything wrong with McDonald's. It was simply overpriced at \$75 in 1972.

And if McDonald's was overpriced, look at what happened to Ross Perot's company, Electronic Data Systems (EDS), a hot stock in the late 1960s. I couldn't believe it when I saw a brokerage report on the company. This company had a p/e of 500! It would take five centuries to make back your investment in EDS if the earnings stayed constant. Not only that, but the analyst who wrote the report was suggesting that the p/e was conservative, because EDS ought to have a p/e of 1,000.

If you had invested in a company with a p/e of 1,000 when King Arthur